

1 ENGROSSED HOUSE
2 BILL NO. 3989

By: Caldwell (Trey) and
Dobrinski of the House

3 and

4 Green of the Senate
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7 An Act relating to the Retail Electric Supplier
8 Certified Territory Act; amending 17 O.S. 2021,
9 Section 158.25, as amended by Section 1, Chapter 95,
10 O.S.L. 2023 (17 O.S. Supp. 2025, Section 158.25),
11 which relates to exclusive rights within territory;
12 modifying when certain electric retail suppliers can
13 extend certain services; requiring certain fees under
14 certain circumstances; excluding specific sources of
15 funding for those fees; and providing an effective
16 date.

17 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

18 SECTION 1. AMENDATORY 17 O.S. 2021, Section 158.25, as
19 amended by Section 1, Chapter 95, O.S.L. 2023 (17 O.S. Supp. 2025,
20 Section 158.25), is amended to read as follows:

21 Section 158.25. A. Except as otherwise provided herein, each
22 retail electric supplier shall have the exclusive right to furnish
23 retail electric service to all electric-consuming facilities located
24 within its certified territory, and shall not furnish, make
available, render or extend its retail electric service to a
consumer for use in electric-consuming facilities located within the
certified territory of another retail electric supplier; provided

1 that any retail electric supplier may extend its facilities through
2 the certified territory of another retail electric supplier, if such
3 extension is necessary for such supplier to connect any of its
4 facilities or to serve its consumers within its own certified
5 territory.

6 B. Except as provided in subsections C and E of this section,
7 any new electric-consuming facility located in an unincorporated
8 area which has not as yet been included in a map issued by the
9 Commission, pursuant to Section 158.24 of this title, or certified,
10 pursuant to Section 158.24 of this title, shall be furnished retail
11 electric service by the retail electric supplier which has an
12 existing distribution line in closer proximity to such electric-
13 consuming facility than is the nearest existing distribution line of
14 any other retail electric supplier. Any disputes under this
15 subsection shall be resolved by the Commission.

16 C. If the Commission, after hearing, shall determine that the
17 retail electric service being furnished or proposed to be furnished
18 by a retail electric supplier to an electric-consuming facility is
19 inadequate and is not likely to be made adequate, the Commission may
20 authorize another retail electric supplier to furnish retail
21 electric service to such facility.

22 D. Except as provided in subsection C of this section, no
23 retail electric supplier shall furnish, make available, render or
24 extend retail electric service to any electric-consuming facility to

1 which such service is being lawfully furnished by another retail
2 electric supplier on September 10, 1971, or to which retail electric
3 service is lawfully commenced thereafter in accordance with this
4 section by another retail electric supplier.

5 E. The provisions of this act shall not preclude any retail
6 electric supplier from extending its service after September 10,
7 1971, (1) to its own property and facilities, in an unincorporated
8 area, and (2) subject to subsection D of this section, to an
9 electric-consuming facility requiring electric service, in an
10 unincorporated area, if the ~~connected~~ actual total metered load for
11 initial full operation of such electric-consuming facility is to be
12 1,000 kw or larger. After August 26, 2026, a retail electric
13 supplier shall provide notice to the Oklahoma Corporation Commission
14 that it plans to serve a new electric-consuming facility under this
15 large load exception. Together with its notice, it shall include
16 written certification from a licensed professional engineer that the
17 load will reach or is reasonably expected to reach or exceed 1,000
18 kw of actual metered load during the first twenty-four (24) months
19 of commercial operation. At the end of the twenty-four-month
20 period, the Commission or the incumbent utility may request
21 verification, and obtain records through a Commission proceeding to
22 determine whether the 1,000 kw level was reached. If that load
23 fails to reach the 1,000 kw load during the twenty-four (24) months
24 after commercial operation, then said retail electric supplier shall

1 pay a penalty of one percent (1%) of sales to that electric-
2 consuming facility per annum to the incumbent retail electric
3 supplier until such time as it does reach 1,000 kw. The penalty may
4 not be recovered directly from ratepayers or members, and shall be
5 paid from the profits or margins of the utility making the payments.
6 The Corporation Commission shall enforce this penalty upon
7 application of an interested party and may waive the penalty upon a
8 finding that the utility serving said load was not at fault in
9 serving said load which did not reach 1,000 kw for reasons
10 unforeseen when service was extended. This subsection shall not
11 apply to any such load served before August 26, 2026.

12 F. To achieve the purposes of efficient, cost-effective retail
13 electric service without duplication of electric facilities and to
14 avoid unfairly shifting costs to residential consumers, retail
15 electric service providers are required to establish and utilize
16 rate tariffs which are specifically applicable to a rate class of
17 customers composed of electric-consuming facilities being served in
18 accord with the 1,000 kw size exception found in subsection E of
19 this section and located outside the retail electric service
20 provider's certified territory. These tariffs may be for a specific
21 electric-consuming facility or for a class of electric-consuming
22 facilities taking service under this provision. For retail electric
23 service providers that are rate-regulated by the Commission, the
24 rates supporting this rate class shall be determined in the rate-

1 regulated service provider's most recent rate proceeding. Rates for
2 this rate class shall be designed to recover (i) the costs of
3 extending service to the competitive load of electric-consuming
4 facilities of 1,000 kw or larger located outside the retail electric
5 service provider's certified territory; and (ii) the allocated share
6 of other costs associated with providing service to the electric-
7 consuming facility. Such tariffs shall be cost-of-service based and
8 shall not subsidize other rate classes or be subsidized by other
9 rate classes. Unless costs of extending service to such a new load
10 are collected from the customer, those costs shall be included in
11 the cost of service study in the next rate proceeding. If the
12 electric service provider, in whose certified territory the
13 competitive load is seeking electric service, chooses in writing not
14 to compete for said competitive load or does not respond within
15 thirty (30) days of receiving written notice by the customer, the
16 terms of this subsection shall not apply.

17 SECTION 2. This act shall become effective November 1, 2026.
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1 Passed the House of Representatives the 25th day of March, 2026.

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4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the ____ day of _____, 2026.

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9 Presiding Officer of the Senate